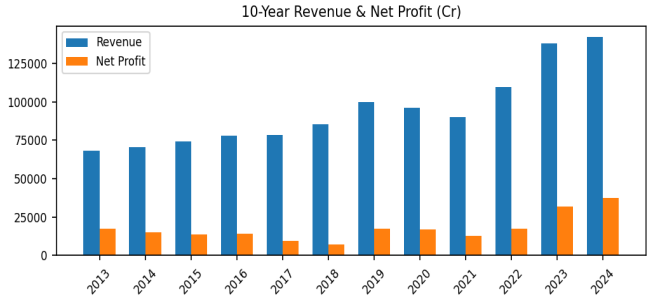
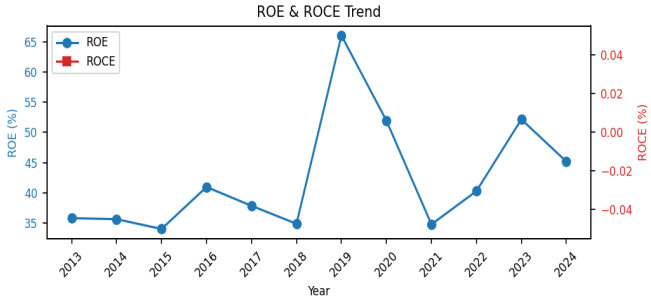
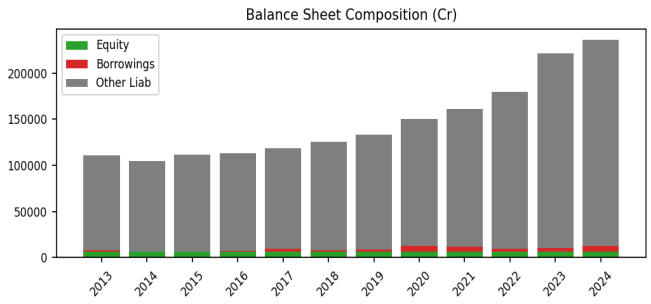
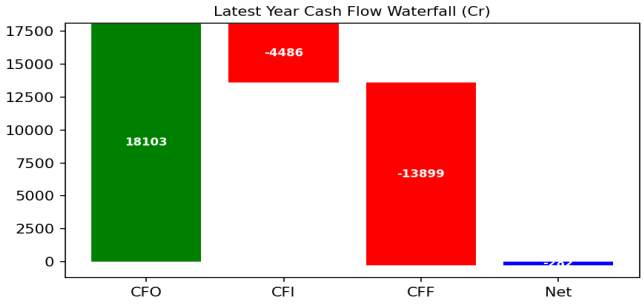
Coal India Ltd (COALINDIA)

Revenue	Net Profit	Total Equity
■14.2T	■3.7T	■6163Cr
ROE	**ROCE**	**D/E**
45.2%	-	0.08x









Pros	Cons
• Consistently high return on equity above 20% demonstrates exceptional capital efficiency (Conf: 90%) • Strong free cash flow generation over 5 years signals healthy business fundamentals (Conf: 95%) • Operating profit margin above 25% indicates strong pricing power and cost discipline (Conf: 80%) • Very high interest coverage ratio reflects negligible financial stress from debt servicing (Conf: 85%) • Consistent dividend yield above 2% backed by positive free cash flow (Conf: 80%) • Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (Conf: 85%) • Revenue growing slower than profits shows improving operating leverage and scale benefits (Conf: 70%)	• Operating margins declining for 3 consecutive years suggest pricing or cost pressure (Conf: 85%) • Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable (Conf: 90%)

Capital Allocation Pattern: Reinvestor